

1. Executive Summary and Recommendation

Recommendation: Do not treat CEP V's track record as a basis for recommitting to Carlyle Europe Partners VI. The relationship with CVC may continue, with specific monitoring of post-listing alignment.

As of December 31, 2025, seven years into the fund's life, Carlyle Europe Partners V had returned 0.72 times the capital contributed to investors. CVC Capital Partners VII, a fund from an earlier vintage with a comparable mandate, had returned 1.27 times the capital. The former has not yet recouped the capital; the latter has fully recouped it and has begun distributing profits.

The gap is wide, but that alone would not justify the recommendation: a single fund that falls short of expectations does not undermine the assessment of a manager.

The decisive factor is something else. The management team that built the CEP V portfolio was replaced in 2024, reportedly due to unsatisfactory returns and a slowdown in fundraising for the subsequent fund; the new leadership redefined the strategy, abandoning the consumer sector and focusing on four verticals. As a result, the available track record is not attributable to either the team or the strategy of the fund being offered. This is not a reinvestment in a well-known manager, but rather a subscription to a product with no track record, albeit with the advantage of a well-established platform and a well-known brand.

There is also an exposure profile that warrants attention: CEP V's multiple exceeds parity solely due to internal valuations of the remaining holdings, and a downward revision of approximately 24% would put the investor in the red. The Dainese case, acquired in 2024 and transferred to creditors in 2026, demonstrates that, for this vehicle, the gap between estimates and actual results has already materialized to a significant extent.

With CVC, the picture is different by nature, not just in degree. The capital has been recouped, the European team's oversight has remained stable throughout the fund's entire life, and the leadership transition was a planned succession coordinated with the IPO, not a reaction to unsatisfactory results. The key point to monitor does not concern performance but rather the ownership structure: the presence of public shareholders alongside fund investors, and the allocation of carried interest between the listed company and the investment team.

No commitments should be made prior to accessing the vehicle's contractual documentation and ESG reporting, elements on which this analysis could not be based.

2. Scope and Methodology

This memorandum evaluates the track record of Carlyle Europe Partners V for the purpose of deciding on recommitment to the subsequent fund, Carlyle Europe Partners VI, using CVC Capital Partners VII as a benchmark.

The choice of the comparable fund is based on three criteria. The two funds operate under the same mandate (pan-European large-cap buyouts) and have adjacent vintages, 2018 and 2017, respectively. The performance data come from the same investor and are calculated using the same methodology, which eliminates the reporting discrepancies that typically make comparisons between managers problematic. Finally, both funds are in an advanced stage of liquidation, a necessary condition for metrics based on distributions to be meaningful.

Data Source. Performance data (capital committed, paid in, distributed, residual value, net IRR, and multiple) are derived from CalPERS’ periodic disclosure, the “Private Equity Program Fund Performance Review,” as of December 31, 2025; amounts are expressed in U.S. dollars. Information on fund size, portfolio composition, governance structures, fee terms, and responsible investment policies is derived from various additional sources: corporate and regulatory documentation from the managers, press releases, industry-specific publications, and other public sources available online. These sources have not been verified against primary documentation and should be considered indicative; no quantitative conclusions in this memorandum are based on them.

Limitations of the data set

Managers have 120 days to report data to investors; consequently, the data reflects a lag of approximately two quarters relative to the actual situation. The source table includes only active investments, excluding those already liquidated, resulting in a selection bias. Returns are calculated from the perspective of a dollar-denominated investor in euro-denominated vehicles and therefore incorporate an exchange rate effect unrelated to the manager’s performance: an investor in the eurozone would have achieved different results on the same fund. The valuations of unrealized holdings are internal estimates by the manager, not market prices. The fee terms reported reflect standard market conditions and have not been verified against contractual documentation. The lists of holdings represent a selection and not the entire portfolio. The reconstruction of leadership turnover at Carlyle is based on secondary sources.

What this document is not. It does not replace a comparison with sector quartiles by year, which would require access to specialized databases. The comparison between the two vehicles constitutes a consistent and verifiable point of reference, not a market benchmark.

3. Track Record

This section compares Carlyle Europe Partners V and CVC Capital Partners VII (A) based on performance data published by CalPERS as of December 31, 2025. The two funds are comparable in three respects: both are large-cap pan-European buyout funds, their vintages are similar, and the data comes from the same limited partner using the same calculation methodology. The comparison does not replace a quartile benchmark by vintage year, but it provides a consistent and verifiable point of comparison.

We use the vintage year reported by the fund (2018 for CEP V, 2017 for CVC VII) rather than the one reported by CalPERS, which records the year of the investor's first cash flow and is therefore shifted back by one year for both funds.

	Carlyle Europe Partners V	CVC Capital Partners VII (A)
Vintage (fund)	2018	2017
Vintage (CalPERS)	2019	2018
Capital committed	163,968,999	440,216,128
Paid-in capital (cash in)	289,031,030	590,296,096
Distributions (cash out)	208,652,745	750,571,817
Residual value	105,373,584	489,739,575
Cash out & residual value	314,026,329	1,240,311,392
Net IRR	3.6%	19.8%
TVPI	1.09x	2.10x
DPI	0.72x	1.27x
RVPI	0.37x	0.83x

The DPI is the starting point of the analysis because it is the only metric that does not depend on the manager's valuation: it measures the capital returned in cash, divided by the capital contributed.

Seven years into the fund's life, CEP V has distributed 0.72x of the capital called. The investor has not yet recouped the amount paid in. CVC VII, from an earlier vintage, has distributed 1.27x: capital fully returned, plus a 27% gain already realized in cash.

The gap is not insignificant. Over the same time frame, one fund returned just under three-quarters of what it received, while the other returned everything and began generating a profit.

The TVPI confirms the trend and illustrates its magnitude. CEP V has a total multiple of 1.087x, compared to 2.101x for CVC VII. It should be noted that the rounded figure published by CalPERS (1.1x) understates the reality for the first fund: based on the raw data, CEP V is just above break-even, and that margin depends entirely on unrealized valuations.

The net IRR should be considered last and with caution. CEP V reports 3.6%, while CVC VII reports 19.8%. The IRR is sensitive to the timing of distributions: a substantial and early return can boost the rate even with a modest final multiple, and the opposite is true for a fund that distributes late. This is why CalPERS itself warns that interim IRRs, on their own, are not a good indicator of current or future performance and should be interpreted in conjunction with the multiple. In this case, the two metrics align, which reinforces the interpretation rather than complicating it.

A note on the cash flow structure. For both funds, the capital contributed exceeds the original commitment: 289 million versus 164 for CEP V, and 590 versus 440 for CVC VII. This is not an anomaly. Calls include management fees, and proceeds from divestitures made during the investment period may be reinvested within the limits set forth in the fund's regulations, resulting in total capital paid in exceeding the amount committed.

Cumulative capital drawn exceeds the original commitment for both funds, 1.34x for CVC VII and 1.76x for CEP V. Management fees charged outside the commitment account for part of this, and recycling of realization proceeds may account for more, though those realizations are not identifiable from the sources used here. The ratio for CEP V is nonetheless high for a fund with a DPI of 0.72x and may also reflect a subsequent commitment increase or a currency conversion effect between a euro-denominated commitment and dollar-reported cash flows. This would need confirmation from the LP's own records.

The two funds therefore differ not only in terms of performance levels but also in the composition of their reported value. The following section focuses on this distinction.

4. The TVPI–DPI Gap

The comparison between the two funds goes beyond performance alone. What that performance consists of also matters and perhaps even more so: how much is cash already realized, and how much is the manager's valuation of the holdings still in the portfolio.

For CEP V, the total value of 1.087x breaks down into 0.722x realized and 0.365x unrealized. For CVC VII, 2.101x breaks down into 1.272x realized and 0.830x unrealized.

At first glance, this seems counterintuitive. In terms of the unrealized portion of the total, the two funds are similar (34% for CEP V and 39% for CVC VII). In fact, the fund with the best performance has the larger unrealized portion. A mechanical interpretation, which treats a high RVPI as a sign of risk, would classify CVC as the more exposed of the two.

The opposite is true, and the reason is that the unrealized portion must be viewed relative to the threshold of returned capital, not in absolute terms.

For CVC VII, the capital has already been fully returned: the DPI of 1.272x exceeds parity. No matter what happens to the remaining holdings, the investor can no longer lose money on this fund. The unrealized value determines how much additional profit there will be, not whether there will be a return of capital.

For CEP V, the opposite is true. The realized value stands at 0.722x, below parity. The fund's entire claim that it has at least preserved capital rests on the manager's own valuations of the companies still held.

Unrealized value	CEP V	CVC VII
0%	1.09x	2.10x
10%	1.05x	2.02x
20%	1.01x	1.94x
30%	0.98x	1.85x
40%	0.94x	1.77x

A downward revision of approximately 24% in the residual value would bring CEP V below par: the investor would exit at a loss. The same write-down on CVC VII would leave the fund above 1.9x.

The Dainese case illustrates this exposure. The stake, acquired in January 2024, was transferred to creditors in 2026 following substantial losses. This is a position that at one point appeared in the residual value based on the manager's valuation and subsequently became worthless. This does not prove that current valuations are incorrect, but it does show that, for this vehicle, the manager's estimates have already proven, at least once, to be materially different from the actual outcome.

Two limitations should be noted. The data is subject to a reporting lag of about two quarters, so the valuations reflect a snapshot that is already several months old. Furthermore, the valuations of unlisted holdings remain internal estimates by the manager, not market prices.

If, therefore, the central issue for CEP V is the reliability of the valuations, the next question is who makes them and whether they are the same people who built the portfolio. This is the subject of the following section.

5. Team and Continuity

A closed-end fund's track record is the result of decisions made by specific individuals: which companies to buy, at what price, under what structure, and when to exit. Its predictive value therefore depends on a prerequisite that is rarely explicitly verified: Are the people who produced those numbers the same ones who will manage the next fund?

For the two managers under consideration, the answer is the opposite, and this divergence is the main reason why their respective track records should not be interpreted in the same way.

Carlyle: A Replacement Triggered by Performance

In 2024, Carlyle replaced the leadership team of its European strategy. According to reports, the decision was made following negative or flat returns on certain CEP V investments (including the collapse of Dainese) and a slowdown in fundraising for the subsequent fund.

These two factors must be considered together. The first is an internal assessment of the quality of investment decisions. The second is an external assessment: the halt in fundraising means that other institutional investors, with access to information not available here, have slowed or suspended their commitments. For an LP evaluating the next fund, that market signal is at least as important as performance metrics.

Under Michael Wand's leadership, the senior team has been strengthened with new hires, and the strategy has been redefined: moving away from consumer and apparel brands and focusing on four verticals: technology and SaaS, healthcare, professional services, and advanced manufacturing.

The profile of the fund's most recent investments, such as SNP Schneider-Neureither and GBTEC Software, is consistent with this repositioning.

CVC: A Planned Succession

CVC also underwent a leadership transition during the same time period. Steve Koltes stepped down from his operational role in 2022; Donald Mackenzie stepped aside in early 2024; and Rob Lucas took the helm.

Two factors distinguish this transition from Carlyle's:

- The first is continuity in European strategy: Soren Vestergaard-Poulsen retained responsibility for Europe throughout the entire lifecycle of Fund VII, from the investment period to the current exit phase. The transition involved the corporate leadership, not the team that built and manages the portfolio in question.
- The second is the reason. The founding partners' exit was coordinated with the listing on Euronext Amsterdam in 2024, as part of an institutionalization process. It was not triggered by unsatisfactory performance or fundraising difficulties.

Both managers underwent leadership changes between 2022 and 2024. On the surface, this is a common element. But when examined in depth, it distinguishes the two cases more than any other metric.

In one case, the replacement was the result of unsatisfactory performance and was accompanied by a rewriting of the strategy. In the other, it was a planned succession, managed from the top, which left operational control of the portfolio intact.

The implication for the decision at hand is clear. CEP V's track record, already weak in absolute terms, was produced by a management team that is no longer in office, based on a strategy that has been explicitly abandoned. Its informative value with respect to Fund VI is therefore limited, and this is true in both directions: the disappointing result cannot be attributed to the current team, nor can any assessment based on the previous fund be extended to the new vehicle.

Furthermore, the observations made in the previous section apply here as well. If the stability of CEP V's multiple depends on the valuations of the investments still in the portfolio, it should be

noted that those valuations are now determined by a different group than the one that made the investments. A circumstance that does not in itself imply lower reliability, but one that an investor should be aware of.

Limitations and Verifications

The analysis of personnel turnover at Carlyle is based on secondary sources. Neither the extent of departures at the partner level, nor the potential triggering of key-person clauses, nor the composition of the investment committees of both managers are publicly verifiable.

An investor should request: a list of the professionals who led each CEP V investment and their current status on the staff; the turnover rate of the senior European team over the past five years; the existence and status of key-person clauses; and, for CVC, the composition of the European team during the exit phase of Fund VII.

6. Strategy and Differentiation

The two funds operate on vastly different scales. CEP V raised approximately 6.4 billion euros, while CVC VII raised approximately 15.5 billion: a ratio of two and a half to one. The difference is not merely one of size. It determines the scale of accessible transactions, the competitive landscape in which each fund operates, and, in part, the fee structure; a larger vehicle benefits from economies of scale that translate into a lower management fee as a percentage.

CVC VII ranks among the largest European buyout funds of its era; CEP V is positioned in the upper-middle segment of the European market.

The CEP V portfolio reflects a generalist approach: application software with SNP Schneider-Neureither and GBTEC; technical apparel with Dainese; agricultural technologies and water management with Farmfront; and construction materials with Grupo Garnica.

It is a collection lacking a common sectoral thread. This is not in itself a criticism but it makes it more difficult to identify what distinctive advantage the manager brings compared to competitors, beyond access to the group's transactions and operational resources.

The 2024 realignment toward four verticals (technology and SaaS, healthcare, professional services, and advanced manufacturing) addresses precisely this weakness. However, it occurred after the investment period of the fund under review and therefore cannot be evaluated based on CEP V's results.

A useful point of reference emerges from comparing the status of the portfolio holdings with the performance data, subject to one caveat: the holdings examined here are a selection, not the full portfolio of either fund.

Among the CEP V holdings examined, there are no completed exits. The only liquidation event is the transfer of Dainese to creditors, which is not a divestiture but a loss. The fund has nonetheless distributed 208 million, or 0.72x of the capital called, so realizations have occurred outside this

selection; whether as full exits, partial sales, refinancings or dividend recapitalizations cannot be determined from the sources available here. What the selection does show is that no realization event appears among the fund's more visible positions seven years after the vintage. That is consistent with a slow pace of distribution, but it does not on its own account for the 0.72x.

The CVC VII selection is more informative, because here the qualitative and the quantitative evidence meet: it includes one completed divestiture (Naturgy) and one partial divestiture (Tipico) alongside positions still active, and a DPI of 1.27x requires exits of precisely that kind. The convergence reinforces the reading.

The asymmetry between the two cases is worth stating plainly: for CVC the visible portfolio explains the reported distributions, for CEP V it does not. This is a limitation of the source material, not a finding about the fund.

CVC VII also has a broad portfolio across sectors: utilities and energy, gaming and betting, building materials distribution, and healthcare.

However, there is a distinct element of specialization in sports and media rights, of which the United Rugby Championship is an example. This is an area where the manager has built recognizable and repeatable expertise, and it represents one of the few forms of substantial differentiation observable from the outside in both funds.

The key point for an investor evaluating Carlyle's next fund is that the combination of a management team changes and a strategic reorientation produce a specific outcome: CEP VI is not a continuation of CEP V, but a new product.

New management team, new sector focus, and no track record specific to that combination. In essence, this amounts to investing in a first-time fund, with the advantage of a consolidated platform and a well-known brand, but without the performance history that normally justifies a renewed commitment.

Limitations

The investments examined represent a selection and not the entire portfolio: a fund the size of CEP V likely holds a significantly larger number of companies. Conclusions regarding the sectoral focus should be interpreted with this caveat in mind. An investor should request the complete list of investments, including the date of acquisition, cost, current valuation, and status of realization.

7. Fees and Terms

The contractual terms of a closed-end fund are not public. The following reflects standard market conditions for European buyout vehicles of this size and vintage, supplemented by information that can be inferred from disclosures by Carlyle and CVC as publicly traded companies. None of these terms have been verified against the LPA, and this entire section should be treated as indicative.

	CEP V	CVC VII
Management fee, investment period	1.75–2.00% on committed capital	1.50% on committed capital
Management fee, post-investment	Stepped down, on net invested capital	~1.00–1.25% on net invested capital
Fee offset	100% of transaction and monitoring fees	100% of transaction and monitoring fees
Carried interest	20%	20%
Hurdle rate	8%	6%
Catch-up	100% (full)	80% (partial)
Waterfall	European (whole-fund)	European (whole-fund)
GP commitment	Not disclosed	~3% (~€500m of €15.5bn)
Carry to listed entity	Not disclosed	15%; 85% to partner vehicles

CVC's lower fee is consistent with the scale. A 16-billion vehicle spreads its structural costs over a broader base, and the market recognizes this economy of scale. The 25- to 50-basis-point spread is in line with expectations and does not indicate a particularly favorable negotiated term.

The two differences in the waterfall structure partially offset each other. A 6% hurdle rather than an 8% hurdle is less favorable to the investor, because the manager earns carry on a lower return. An 80% catch-up rather than a 100% catch-up, on the other hand, is more favorable to the investor, because it slows the manager's recovery and leaves cash flows with investors for a longer period. The net effect depends on the structure and timing of distributions and cannot be determined in advance. Both figures should be verified before forming an opinion based on them.

Under the European-style waterfall structure, the manager does not receive carried interest until investors have recouped their entire called-in capital, fees, and preferred return.

With a DPI of 0.72x, CEP V has not yet returned the capital contributed; therefore, no carried interest should have accrued in favor of the manager. This observation follows directly from the performance data and does not require access to the LPA. It is worth noting: the fee structure protects investors even in the event of disappointing performance, and this distinguishes the case at hand from an alignment issue.

The listing introduces an additional step: a portion of the carried interest (set at 15%) flows into the listed company rather than entirely into the partners' vehicles. In principle, this reduces the share of incentives that directly reaches those who make investment decisions. The effect on alignment is unclear and warrants further analysis.

A reduction in fees granted to larger investors has also been reported. For a pension fund with a significant commitment, a negotiated concession of this type has a greater impact than the nominal difference between the two managers.

Points to verify before commitment:

Actual fee rate and calculation basis; date and mechanism of the step-down; scope of the fee offset; GP commitment; key-person clauses; side letters with concessions to comparable investors and the presence of a most-favored-nation clause.

8. ESG and Mandate Compatibility

The key issue for an institutional investor is not whether the manager adopts responsible investment practices, but whether the fund is compatible with the constraints the investor receives from its governing body. A Dutch pension fund applies deliberate exclusions upstream, which bind every mandate downstream, including those entrusted to external managers.

Both managers are signatories to the United Nations Principles for Responsible Investment at the firm level; CVC since 2012; Carlyle's adherence would need to be confirmed in the official registry.

Both vehicles fall under Article 6 of the SFDR. Neither was structured to promote environmental or social characteristics: both were launched before the regulation came into effect. Classification therefore does not constitute a differentiating factor between the two.

The point of divergence: the architecture of exclusions

CVC applies a responsible investment policy at the group level. Controversial weapons and nuclear weapons are entirely excluded, in accordance with international treaties; jurisdictions subject to sanctions are blocked. Tobacco and thermal coal, on the other hand, are excluded only above certain revenue thresholds, not outright.

Carlyle does not publish a categorical sector-based exclusion policy. Its stated approach prioritizes engagement with the portfolio company over forgoing the investment, and restrictions are handled on a case-by-case basis during due diligence or agreed upon with individual investors.

This leads to a practical conclusion. For an investor with zero-tolerance constraints, the gap to be bridged differs in the two cases. With CVC, it is a matter of negotiating a narrowing of existing thresholds. With Carlyle, the entire exclusion framework must be built into the contractual documentation from scratch, in the absence of a starting point.

While in both cases compatibility is not achieved at the fund level but must be secured upstream via side letters prior to closing, Carlyle represents the more onerous compatibility profile of the two.

CVC VII includes Tipico, a sports betting and online gaming operator. An investment mandate that excludes gambling with zero tolerance would not be protected under the fund's policy: the position would be eligible according to the manager's criteria but ineligible according to the investor's criteria.

In **CEP V**, Dainese operates in the technical apparel sector, where risks related to the supply chain and working conditions are well-documented. The decision by the new leadership to exit the consumer sector may have been motivated not only by performance considerations but also by a desire to reduce reputational risk; a hypothesis that the available sources do not allow us to confirm.

Transparency

Both managers publish sustainability reports at the firm level, not for individual funds. Data pertaining to the funds under review are provided to investors through confidential periodic reports.

This constitutes a stated limitation of the present analysis: it is not possible to verify the ESG composition of the two portfolios from the outside. An investor should make any commitment contingent upon access to such documentation.

9. Key Risks

The main risk associated with **CEP V** does not concern its past performance, but rather its interpretability. The management team that selected and built the portfolio is no longer in place, and the strategy on which that portfolio was based has been explicitly abandoned. It follows that the historical results cannot be attributed to the team that would manage the next fund, nor can they be used to predict its future performance. For an investor considering a renewed commitment, this is not a factor that can be mitigated by a contractual clause: it is a reality that alters the nature of the decision, transforming it from a confirmation of an existing relationship into a commitment to a strategy with no track record.

A second risk, however, pertains to the results already achieved. **CEP V**'s multiple exceeds parity solely because of the manager's valuations of the holdings still in the portfolio: the actual capital returned stands at 0.72x. A downward revision of approximately 24% in the residual value would be sufficient to put the investor in the red.

The two risks share a common origin, and the Dainese case serves as their point of convergence. The investment, acquired in January 2024 and transferred to creditors in 2026, demonstrates, on the one hand, that the gap between the book value and the final outcome has already materialized to a significant extent in this vehicle. On the other hand, according to reports, it figures among the reasons that led to the replacement of the management team, along with flat or negative returns on other positions and the slowdown in Fund VI's capital raising. The same event thus fuels both risk

profiles: it produced an actual loss, called into question the reliability of the estimates, and helped trigger the turnover of the team.

This has a consequence that an investor should carefully consider: the valuations on which the performance's stability now depends are determined by a different team than the one that selected those investments. This does not necessarily imply lower reliability but it does undermine the continuity of judgment that allows one to interpret an estimate in light of the manager's past performance.

Finally, there is one factor that does not constitute a risk to be managed, but rather an external confirmation of the precedents. The slowdown in inflows to Fund VI indicates that other institutional investors, who have access to documentation and discussions not available to this analysis, have already formed an opinion by suspending or reducing their commitment.

CVC's risk profile is of a different nature, and this difference deserves to be made explicit: with a DPI of 1.27x, the capital has already been fully recouped, and no future event involving the remaining investments can put the investor back in the red on this fund. The risks, therefore, do not concern capital recovery, but rather alignment and compatibility.

The primary risk stems from the 2024 IPO. The manager is now also accountable to a market-based shareholder base, which has its own time horizons and valuation metrics that do not necessarily align with those of the fund's investors. Added to this is the fact that a portion of the carried interest (set at 15%) flows into the listed company rather than into the partners' vehicles, thereby reducing, in principle, the share of incentives that directly reaches those making investment decisions. The overall effect is uncertain and must be monitored with a view to the next vehicle, but it does not affect the fund under review, whose investment period ended prior to the listing.

The second issue concerns compatibility with the restrictions of an institutional investor. The manager's exclusion policy operates based on revenue thresholds rather than in absolute terms, and the presence of Tipico in the portfolio concretely illustrates the point: a position that is permissible under the fund's criteria but impermissible under those of a zero-tolerance mandate regarding gambling.

Common Elements and Differences

The issue of mandate compatibility affects both vehicles, but with different burdens. In neither case is compliance with the restrictions of a Dutch pension fund guaranteed at the fund level: it must be established contractually through a side letter negotiated prior to closing. The difference lies in the starting point. With CVC, the goal is to tighten thresholds already codified in an existing policy; with Carlyle, which does not publish a sector-specific exclusion policy and declares an approach based on engagement rather than exclusion, the entire framework must be built from scratch. The outcome is achievable in both cases, but the negotiation costs and timelines are not comparable.

The limitations of the data set are also common to both cases. The data comes from a single investor, suffers from a reporting lag of about two quarters, includes only active positions and is expressed in dollars for vehicles denominated in euros, thus incorporating an exchange rate effect unrelated to the manager's performance. None of these limitations alters the direction of the conclusions, which remain widely divergent between the two funds; however, they all reduce the precision of the reported figures and must be disclosed to those responsible for decision-making.

10. Recommendation and Conditions

Regarding Carlyle Europe Partners VI: Do not recommit based on the track record of CEP V.

This recommendation is not based on the disappointing performance itself, a single fund that fell short of expectations does not undermine the assessment of a manager, but on the fact that that result is not indicative of the fund currently being offered. The team has been replaced, the strategy has been rewritten, and there are no results attributable to the current combination.

An investor who nevertheless considers Fund VI should subject it to the process typically applied to a first fund, not to a re-commitment: evaluation of the new management team based on results achieved elsewhere, analysis of the alignment between the new sector focus and the actual expertise available, and determination of the commitment size on a prudent basis.

Minimum conditions: identification of the specific individuals responsible for CEP V's investments and verification of their continued employment; clarification on who currently performs the valuations of the remaining holdings; access to the vehicle's ESG data; a side letter on exclusions prior to closing.

Regarding CVC Capital Partners: the relationship may continue, with specific monitoring.

Fund VII shows solid results, confirmed by actual distributions and supported by the continued European presence. The capital has been repaid, and the residual value represents additional potential, not a recovery to be realized.

The key point to monitor does not concern performance but rather the ownership structure: the effect of the IPO on the alignment between the manager and investors, and the allocation of carried interest between the listed company and the investment team, should be verified before committing to the next vehicle.

A condition common to both: no commitment should be made before accessing the vehicle's contractual documentation and ESG reporting, elements on which this analysis could not be based.